

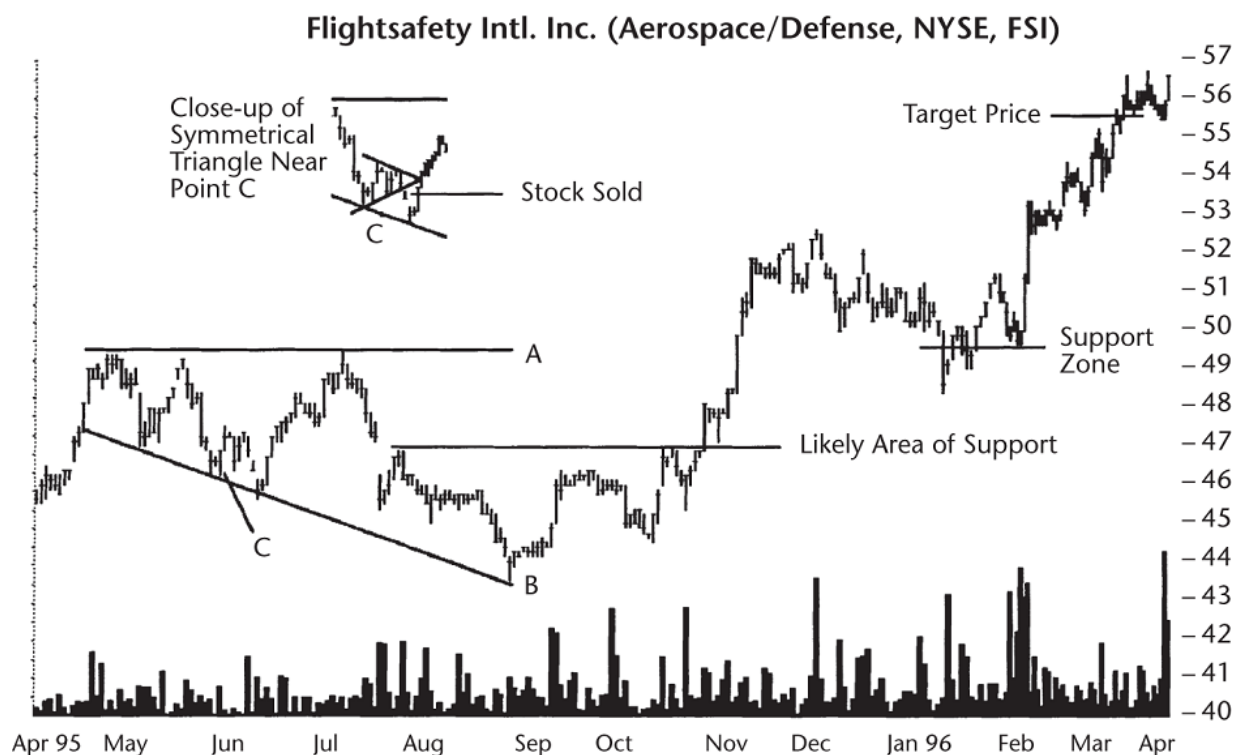


Figure 10.7 This descending broadening pattern has an upward breakout. To compute the measure rule for upward breakouts, find the difference between the high and low in the formation, denoted by points A and B. Add the height to point A to get the upward breakout target price. It took almost 7 months for price to exceed the target. A small symmetrical triangle appears at point C.

“After a few days, I saw the symmetrical triangle form and got worried. Those things are unpredictable.” When the stock moved below the lower triangle trendline, Ralph sold the stock and closed out his trade at 46.50.

He cleared the image on the screen and looked at a chart without any lines or indicators. Just price.

Ralph smiled. “I made the right decision to sell because a partial rise,” such as where the triangle formed, “can predict an immediate downward breakout.”

Sure enough, the following day price dropped even further, tagging the broadening formation trendline again.

“Then the blasted thing bounced on me. Caught me by surprise. I wasn't in the stock then, but I like to think I made the right decision to sell. The thing